ter (IRRC), indicate that the objects of unfriendly takeover attempts do not have superior financial characteristics. Yale University researcher John Pound determined that target companies have neither higher levels of cash flow and capital expenditures than nontarget companies nor superior returns on equity and rates of earnings growth. The targets in Pound's sample also tend to have as much or more debt on their balance sheets, a finding in conflict with the contention that "stronger" companies are often targets of acquisition offers.

In a separate study also commissioned by the IRRC, Pound corroborates the SEC's earlier finding that a high level of institutional ownership does not appear to increase vulnerability to takeovers. He found that institutional ownership averaged only 22% among 100 companies that were takeover targets from 1981 through 1984, whereas for the market as a whole it averaged 35%.

The findings of the SEC and the IRRC researchers illustrate the fallacy of the short-term theory. To those who understand the fundamentals of stock market valuation, the inherent contradiction of this theory has been obvious all along.

The market price of any common stock represents the investing public's collective judgment of the value of underlying assets and the anticipated results of corporate strategies. If investors have good reason to believe that current strategies will yield superior returns, they will gladly pay a premium to participate. If they are convinced that current strategies will yield inferior returns, they will undervalue the stock. The securities of a corporation expected to generate average returns will be priced in the market at a level approximating the underlying asset value.

In projecting a company's performance, only a fool would ignore its past. In many cases, undervaluation reflects the market's recognition that previous long-term planning has not panned out. Without apparent change in corporate strategies or industry economics, the future is unlikely to appear much brighter.